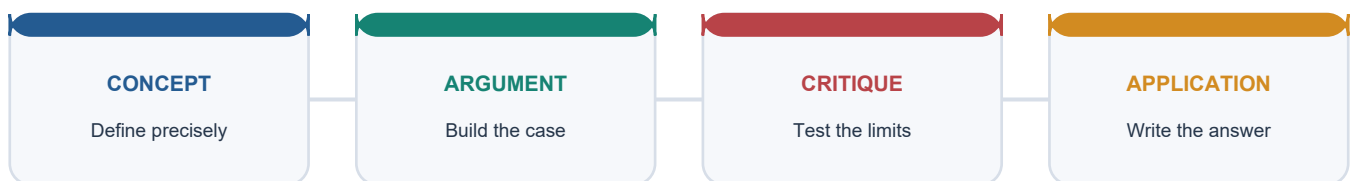


SOLVED PRACTICE WORKBOOK

MSP, Procurement, Buffer Stocks, PDS and Food Security - Solved Practice Workbook

Economy | UPSC Prelims and GS-III

LEARNING PATH



Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / WORKBOOK INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

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MSP, Procurement, Buffer Stocks, PDS and Food Security - Solved Practice Workbook

Exactly 32 original questions appear before PYQs. Correct answers rotate A -> B -> C -> D eight times.

BASIC MCQS / REMEDIATION

MCQ 1

Which statement best defines MSP?

A. It is a pre-season administered price signal for specified crops, not automatic universal purchase. B. It is a statutory monthly income paid to every farmer. C. It is FCI's total economic cost. D. It is the retail price charged at every fair-price shop.

Answer: A.

Option-wise explanation:

- **A - Correct:** The definition preserves crop, season and procurement boundaries. The option states: It is a pre-season administered price signal for specified crops, not automatic universal purchase.
- **B - Incorrect:** Income support is a different instrument. The option states: It is a statutory monthly income paid to every farmer.
- **C - Incorrect:** Economic cost includes acquisition and distribution components. The option states: It is FCI's total economic cost.
- **D - Incorrect:** PDS issue policy is separate from farm price policy. The option states: It is the retail price charged at every fair-price shop.

Examiner trap 1: Announcement does not prove procurement.

MCQ 2

What is CACP's institutional role?

A. It takes the final Cabinet decision. B. It recommends MSPs after examining costs and wider market-policy factors. C. It procures all notified crops. D. It administers NFSA ration cards.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** CCEA takes the final Union decision. The option states: It takes the final Cabinet decision.
- **B - Correct:** CACP is the expert advisory stage. The option states: It recommends MSPs after examining costs and wider market-policy factors.
- **C - Incorrect:** Designated agencies procure. The option states: It procures all notified crops.
- **D - Incorrect:** States manage beneficiary identification and cards. The option states: It administers NFSA ration cards.

Examiner trap 2: Recommendation is not decision.

MCQ 3

Which statement correctly identifies the MSP crop basket?

A. MSP is legally fixed for every crop grown in India. B. Sugarcane is one of the 22 crops under the same MSP mechanism. C. MSP covers 22 mandated crops, with derived prices for toria and de-husked coconut; sugarcane uses FRP. D. Only wheat and paddy receive any announced support price.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Coverage is a specified list. The option states: MSP is legally fixed for every crop grown in India.

- **B - Incorrect:** Sugarcane pricing follows a separate FRP route. The option states: Sugarcane is one of the 22 crops under the same MSP mechanism.
- **C - Correct:** The answer matches the official crop and FRP distinction. The option states: MSP covers 22 mandated crops, with derived prices for toria and de-husked coconut; sugarcane uses FRP.
- **D - Incorrect:** The announced list is broader than two cereals. The option states: Only wheat and paddy receive any announced support price.

Examiner trap 3: Price-policy coverage is not procurement coverage.

MCQ 4

A2 cost primarily includes:

A. Only imputed family labour. B. Owned-land rent and fixed-capital interest but no paid expenses. C. FCI storage and transport costs. D. Actual paid-out cultivation expenses in cash or kind under the CACP method.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Family labour is added in A2+FL. The option states: Only imputed family labour.
- **B - Incorrect:** Those imputed items enter C2. The option states: Owned-land rent and fixed-capital interest but no paid expenses.
- **C - Incorrect:** FCI logistics are not farm production cost. The option states: FCI storage and transport costs.
- **D - Correct:** A2 is the explicit paid-out cost concept. The option states: Actual paid-out cultivation expenses in cash or kind under the CACP method.

Examiner trap 4: A2 is narrower than A2+FL.

MCQ 5

A2+FL equals:

A. A2 plus the imputed value of unpaid family labour. B. C2 minus every paid-out expense. C. MSP plus procurement incidentals. D. A2 plus FCI carrying cost.

Answer: A.

Option-wise explanation:

- **A - Correct:** The formula recognises family labour's opportunity cost. The option states: A2 plus the imputed value of unpaid family labour.
- **B - Incorrect:** C2 contains A2 rather than removing it. The option states: C2 minus every paid-out expense.
- **C - Incorrect:** This defines acquisition elements, not farm cost. The option states: MSP plus procurement incidentals.
- **D - Incorrect:** Public stock cost is unrelated to FL. The option states: A2 plus FCI carrying cost.

Examiner trap 5: FL means family labour, not freight.

MCQ 6

C2 adds which items to A2+FL?

A. Only marketable surplus. B. Imputed rent on owned land and interest on owned fixed capital. C. Only hired labour already included in A2. D. Food-subsidy reimbursement.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Marketed output is not a cost item. The option states: Only marketable surplus.
- **B - Correct:** C2 broadens the opportunity-cost base. The option states: Imputed rent on owned land and interest on owned fixed capital.
- **C - Incorrect:** Hired labour is a paid-out cost. The option states: Only hired labour already included in A2.

- **D - Incorrect:** Subsidy reimbursement belongs to public accounts. The option states: Food-subsidy reimbursement.

Examiner trap 6: C2 is not the official 1.5-times base.

MCQ 7

What is the official 1.5-times MSP policy benchmark?

A. Exactly C2 plus 50 per cent for every farm. B. One and a half times FCI economic cost. C. At least 1.5 times the all-India weighted average A2+FL cost. D. A State-specific legal profit guarantee.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** C2-plus-50 is a separate demand. The option states: Exactly C2 plus 50 per cent for every farm.
- **B - Incorrect:** FCI cost is downstream. The option states: One and a half times FCI economic cost.
- **C - Correct:** Official seasonal tables use the A2+FL average. The option states: At least 1.5 times the all-India weighted average A2+FL cost.
- **D - Incorrect:** Farm costs and procurement vary. The option states: A State-specific legal profit guarantee.

Examiner trap 7: Name the denominator.

MCQ 8

Which comparison of price and income support is correct?

A. Both necessarily require physical procurement. B. Income support always raises one crop's market price. C. Price support has no production effect. D. Price support changes the commodity-price incentive; income support transfers purchasing power.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Transfers need not purchase output. The option states: Both necessarily require physical procurement.
- **B - Incorrect:** Income support can be crop-neutral. The option states: Income support always raises one crop's market price.
- **C - Incorrect:** Expected prices influence sowing. The option states: Price support has no production effect.
- **D - Correct:** The mechanisms and incidence differ. The option states: Price support changes the commodity-price incentive; income support transfers purchasing power.

Examiner trap 8: Do not merge transfer and price instruments.

MCQ 9

Procurement occurs when:

A. A designated agency actually purchases eligible produce under specified operational conditions. B. CACP publishes a recommendation. C. A crop appears in the MSP list. D. A household receives an NFSA ration card.

Answer: A.

Option-wise explanation:

- **A - Correct:** Physical purchase creates payment and stock obligations. The option states: A designated agency actually purchases eligible produce under specified operational conditions.
- **B - Incorrect:** Advice is not purchase. The option states: CACP publishes a recommendation.
- **C - Incorrect:** Announcement is not purchase. The option states: A crop appears in the MSP list.
- **D - Incorrect:** Ration entitlement is consumer-side. The option states: A household receives an NFSA ration card.

Examiner trap 9: Procurement is a transaction.

MCQ 10

Open-ended procurement correctly means:

A. Every crop is purchased everywhere without conditions. B. Conforming paddy or wheat offered within an operating procurement system is bought without a preset aggregate cap. C. Oilseeds are legally unlimited in every State. D. Quality standards cannot be applied.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Coverage is not universal. The option states: Every crop is purchased everywhere without conditions.
- **B - Correct:** The term is bounded by crop, quality, place and period. The option states: Conforming paddy or wheat offered within an operating procurement system is bought without a preset aggregate cap.
- **C - Incorrect:** PSS operations are conditional. The option states: Oilseeds are legally unlimited in every State.
- **D - Incorrect:** FAQ remains relevant. The option states: Quality standards cannot be applied.

Examiner trap 10: Always state the operating boundary.

MCQ 11

Why is procurement support uneven?

A. All States procure identical shares. B. MSP mechanically equalises every farm price. C. Agency presence, crop, quality, market arrivals and State infrastructure differ. D. Only soil quality matters.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Procurement is concentrated. The option states: All States procure identical shares.
- **B - Incorrect:** Market outcomes vary. The option states: MSP mechanically equalises every farm price.
- **C - Correct:** Operational access determines realised support. The option states: Agency presence, crop, quality, market arrivals and State infrastructure differ.
- **D - Incorrect:** Institutions matter with agro-climate. The option states: Only soil quality matters.

Examiner trap 11: Announced support is not realised support.

MCQ 12

Under decentralised procurement, participating States generally:

A. Abolish the central pool. B. Set WTO support rules. C. Replace NFSA with APMC trading. D. Procure, store and distribute their NFSA requirement with central-pool adjustment and approved reimbursement.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** The central pool remains. The option states: Abolish the central pool.
- **B - Incorrect:** WTO rules are multilateral. The option states: Set WTO support rules.
- **C - Incorrect:** Market regulation is Topic 13. The option states: Replace NFSA with APMC trading.
- **D - Correct:** DCP reallocates operations within a national framework. The option states: Procure, store and distribute their NFSA requirement with central-pool adjustment and approved reimbursement.

Examiner trap 12: Decentralisation is not withdrawal of Union support.

MCQ 13

The central pool is best described as:

A. Public foodgrain stock procured for NFSA, welfare, buffer, emergency and market-management uses. B. Only grain physically inside an FCI-owned godown. C. Private trader inventory. D. An accounting name for MSP recommendations.

Answer: A.

Option-wise explanation:

- **A - Correct:** Ownership and public purpose define the pool. The option states: Public foodgrain stock procured for NFSA, welfare, buffer, emergency and market-management uses.
- **B - Incorrect:** State-procured grain can enter it. The option states: Only grain physically inside an FCI-owned godown.
- **C - Incorrect:** Private stocks are separate. The option states: Private trader inventory.
- **D - Incorrect:** Recommendations create no grain. The option states: An accounting name for MSP recommendations.

Examiner trap 13: Storage location alone does not define ownership.

MCQ 14

FCI's mandate includes:

A. Fixing State beneficiary lists. B. Procurement support, storage, movement, distribution and buffer management. C. Adjudicating WTO disputes. D. Regulating APMC licences.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** States identify beneficiaries. The option states: Fixing State beneficiary lists.
- **B - Correct:** FCI is the central logistics and stock institution. The option states: Procurement support, storage, movement, distribution and buffer management.
- **C - Incorrect:** WTO bodies handle disputes. The option states: Adjudicating WTO disputes.
- **D - Incorrect:** APMC regulation is State marketing law. The option states: Regulating APMC licences.

Examiner trap 14: FCI does not perform every food-policy function.

MCQ 15

FCI economic cost equals:

A. MSP alone. B. MSP minus procurement incidentals. C. Acquisition cost plus distribution cost. D. NFSA entitlement multiplied by coverage.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** MSP omits incidentals and distribution. The option states: MSP alone.
- **B - Incorrect:** Incidentals add to acquisition. The option states: MSP minus procurement incidentals.
- **C - Correct:** Economic cost includes purchase and logistics. The option states: Acquisition cost plus distribution cost.
- **D - Incorrect:** Entitlement arithmetic is not cost accounting. The option states: NFSA entitlement multiplied by coverage.

Examiner trap 15: Use the two-step formula.

MCQ 16

Carrying cost rises principally with:

A. Only the number of MSP crops. B. Only NFSA's rural coverage ceiling. C. Only the CACP recommendation date. D. The quantity and duration of stock plus financing, storage, handling and preservation costs.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Crop count does not measure storage burden. The option states: Only the number of MSP crops.
- **B - Incorrect:** Coverage is consumer-side. The option states: Only NFSA's rural coverage ceiling.
- **C - Incorrect:** Advice date is not a carrying-cost input. The option states: Only the CACP recommendation date.
- **D - Correct:** Stocks create time-dependent fiscal and quality costs. The option states: The quantity and duration of stock plus financing, storage, handling and preservation costs.

Examiner trap 16: A stock is an asset with maintenance cost.

MCQ 17

Which quarterly norm statement is correct?

A. The norm is a dated minimum benchmark; actual stocks may be above or below it. B. The 1 July norm applies unchanged every day. C. A stock above norm is automatically waste. D. Norms contain rice but never wheat.

Answer: A.

Option-wise explanation:

- **A - Correct:** Norms and actual inventory are distinct. The option states: The norm is a dated minimum benchmark; actual stocks may be above or below it.
- **B - Incorrect:** Quarterly seasonality matters. The option states: The 1 July norm applies unchanged every day.
- **C - Incorrect:** Pipeline and obligations matter. The option states: A stock above norm is automatically waste.
- **D - Incorrect:** Both rice and wheat are included. The option states: Norms contain rice but never wheat.

Examiner trap 17: Compare dates and units.

MCQ 18

OMSS(D) differs from NFSA release because OMSS:

A. Creates a household legal entitlement. B. Sells specified central stock into market channels to influence supply and prices. C. Sets MSP for the next crop season. D. Identifies AAY households.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** NFSA creates entitlement. The option states: Creates a household legal entitlement.
- **B - Correct:** OMSS is a market-release mechanism. The option states: Sells specified central stock into market channels to influence supply and prices.
- **C - Incorrect:** CCEA decides MSP. The option states: Sets MSP for the next crop season.
- **D - Incorrect:** States identify households. The option states: Identifies AAY households.

Examiner trap 18: Market sale is not ration entitlement.

MCQ 19

The Price Stabilisation Fund is distinct from OMSS because it:

A. Is another name for FCI's rice-wheat quarterly norm. B. Determines NFSA coverage percentages. C. Supports interventions or buffers for selected commodities under a different institutional route. D. Computes C2 cost.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** FCI norms are separate. The option states: Is another name for FCI's rice-wheat quarterly norm.
- **B - Incorrect:** Coverage comes from NFSA. The option states: Determines NFSA coverage percentages.
- **C - Correct:** Commodity and agency architecture differs. The option states: Supports interventions or buffers for selected commodities under a different institutional route.
- **D - Incorrect:** C2 is a farm-cost concept. The option states: Computes C2 cost.

Examiner trap 19: Price stabilisation is an objective, not one universal scheme.

MCQ 20

Food security has which four dimensions?

A. Procurement, milling, export and taxation only. B. Calories, MSP, C2 and APMC. C. Production, imports, godowns and roads only. D. Availability, access, utilisation and stability.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** The list omits household outcomes. The option states: Procurement, milling, export and taxation only.
- **B - Incorrect:** These mix unrelated concepts. The option states: Calories, MSP, C2 and APMC.
- **C - Incorrect:** Infrastructure alone is incomplete. The option states: Production, imports, godowns and roads only.
- **D - Correct:** The four dimensions cover supply, affordability, nutrition and resilience. The option states: Availability, access, utilisation and stability.

Examiner trap 20: Cereal availability is only one dimension.

MCQ 21

NFSA coverage architecture provides:

A. Up to 75 per cent rural and 50 per cent urban coverage, with State identification within ceilings. B. Universal automatic coverage of every resident. C. A 75 kilogram rural entitlement. D. CACP identification of ration households.

Answer: A.

Option-wise explanation:

- **A - Correct:** The figures are population coverage ceilings. The option states: Up to 75 per cent rural and 50 per cent urban coverage, with State identification within ceilings.
- **B - Incorrect:** NFSA remains targeted. The option states: Universal automatic coverage of every resident.
- **C - Incorrect:** Percentages are not kilograms. The option states: A 75 kilogram rural entitlement.
- **D - Incorrect:** States identify eligible households. The option states: CACP identification of ration households.

Examiner trap 21: Coverage is not entitlement quantity.

MCQ 22

Which entitlement pair is correct?

A. PHH: 35 kg per person; AAY: 5 kg per household. B. PHH: 5 kg per person per month; AAY: 35 kg per household per month. C. Both: 5 kg per household. D. Both: 35 kg per person.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** The quantities and units are reversed. The option states: PHH: 35 kg per person; AAY: 5 kg per household.
- **B - Correct:** The unit differs between categories. The option states: PHH: 5 kg per person per month; AAY: 35 kg per household per month.
- **C - Incorrect:** AAY has a household entitlement. The option states: Both: 5 kg per household.
- **D - Incorrect:** PHH is person-based. The option states: Both: 35 kg per person.

Examiner trap 22: Do not swap person and household units.

MCQ 23

What is the current free-foodgrain status?

A. Free supply is a permanent unamendable NFSA clause. B. The arrangement ended in December 2023. C. NFSA entitlements are supplied free under PMGKAY from 1 January 2024 through December 2028. D. Only AAY receives free grain.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Price policy can change. The option states: Free supply is a permanent unamendable NFSA clause.
- **B - Incorrect:** It was extended beyond 2023. The option states: The arrangement ended in December 2023.
- **C - Correct:** The five-year executive arrangement covers both PHH and AAY entitlements. The option states: NFSA entitlements are supplied free under PMGKAY from 1 January 2024 through December 2028.
- **D - Incorrect:** Both NFSA categories are covered. The option states: Only AAY receives free grain.

Examiner trap 23: Date the free arrangement.

MCQ 24

Which responsibility principally belongs to States under NFSA delivery?

A. Approving national MSPs. B. Calculating WTO AMS for India. C. Creating the FCI central corporation. D. Identifying eligible households and managing ration cards and fair-price-shop delivery.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** CCEA approves MSP. The option states: Approving national MSPs.
- **B - Incorrect:** WTO notification is Union-level. The option states: Calculating WTO AMS for India.
- **C - Incorrect:** FCI is a Union statutory corporation. The option states: Creating the FCI central corporation.
- **D - Correct:** States control key targeting and last-mile functions. The option states: Identifying eligible households and managing ration cards and fair-price-shop delivery.

Examiner trap 24: Assign failures to the responsible tier.

MCQ 25

ONORC primarily enables:

A. Portability of an identified NFSA entitlement across interoperable State systems. B. Universal ration eligibility for non-beneficiaries. C. Automatic doubling of monthly entitlement. D. MSP procurement from any mandi.

Answer: A.

Option-wise explanation:

- **A - Correct:** Portability follows the beneficiary, not a new entitlement. The option states: Portability of an identified NFSA entitlement across interoperable State systems.
- **B - Incorrect:** Identification remains required. The option states: Universal ration eligibility for non-beneficiaries.
- **C - Incorrect:** Quantity does not automatically double. The option states: Automatic doubling of monthly entitlement.
- **D - Incorrect:** Procurement is unrelated. The option states: MSP procurement from any mandi.

Examiner trap 25: Portability is not universality.

MCQ 26

What is the correct digitisation safeguard?

A. A failed biometric proves ineligibility. B. Authentication failures require lawful fallback and grievance mechanisms for genuine beneficiaries. C. De-duplication eliminates all exclusion risk. D. ePoS replaces food stocks.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Device failure is not status proof. The option states: A failed biometric proves ineligibility.
- **B - Correct:** Technology must improve integrity without causing denial. The option states: Authentication failures require lawful fallback and grievance mechanisms for genuine beneficiaries.
- **C - Incorrect:** Record cleaning can wrongly delete. The option states: De-duplication eliminates all exclusion risk.
- **D - Incorrect:** Delivery still requires physical grain. The option states: ePoS replaces food stocks.

Examiner trap 26: Authentication is evidence, not entitlement.

MCQ 27

Which statement best distinguishes PDS targeting errors?

A. All three mean the same missing stock. B. Exclusion is always fiscally beneficial. C. Exclusion denies an eligible person; inclusion covers an ineligible record; leakage diverts entitled grain. D. Leakage occurs only before procurement.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** They require different remedies. The option states: All three mean the same missing stock.
- **B - Incorrect:** Exclusion can create severe welfare loss. The option states: Exclusion is always fiscally beneficial.
- **C - Correct:** The categories locate different failures. The option states: Exclusion denies an eligible person; inclusion covers an ineligible record; leakage diverts entitled grain.
- **D - Incorrect:** Leakage can occur across delivery. The option states: Leakage occurs only before procurement.

Examiner trap 27: Deletion counts do not prove successful targeting.

MCQ 28

A cash-transfer alternative to in-kind PDS is most defensible when:

- A. Food-price inflation is ignored. B. Remote markets have no supply. C. Household control over cash never matters. D. Transfers are timely and indexed and local food markets and banking access are reliable.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Indexation is necessary. The option states: Food-price inflation is ignored.
- **B - Incorrect:** Cash cannot buy unavailable grain. The option states: Remote markets have no supply.
- **C - Incorrect:** Intra-household incidence matters. The option states: Household control over cash never matters.
- **D - Correct:** Cash shifts price and market risk to households. The option states: Transfers are timely and indexed and local food markets and banking access are reliable.

Examiner trap 28: DBT is a trade-off, not an automatic upgrade.

MCQ 29

Nutrition security differs from cereal security because it includes:

- A. Dietary diversity, micronutrients, protein and biological utilisation. B. Only the size of FCI stocks. C. Only wheat and rice calories. D. Only the retail price of one grain.

Answer: A.

Option-wise explanation:

- **A - Correct:** Nutrition depends on diet and health conditions. The option states: Dietary diversity, micronutrients, protein and biological utilisation.
- **B - Incorrect:** Stocks mainly address availability. The option states: Only the size of FCI stocks.
- **C - Incorrect:** Calories alone are incomplete. The option states: Only wheat and rice calories.
- **D - Incorrect:** One price cannot measure utilisation. The option states: Only the retail price of one grain.

Examiner trap 29: A full godown does not prove good nutrition.

MCQ 30

Under WTO AoA, market price support is broadly calculated using:

- A. MSP minus the current market price, multiplied by procurement only in every case. B. Administered price minus the fixed 1986-88 reference price, multiplied by eligible production. C. FCI economic cost minus NFSA price. D. C2 minus A2+FL.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Current market price is not the stated reference. The option states: MSP minus the current market price, multiplied by procurement only in every case.
- **B - Correct:** The official WTO formula uses a historical external reference price. The option states: Administered price minus the fixed 1986-88 reference price, multiplied by eligible production.
- **C - Incorrect:** This is domestic subsidy accounting. The option states: FCI economic cost minus NFSA price.
- **D - Incorrect:** Farm-cost differences are not AMS. The option states: C2 minus A2+FL.

Examiner trap 30: WTO accounting is not budget accounting.

MCQ 31

The Bali public-stockholding peace clause:

A. Permanently places all MSP procurement in the Green Box. B. Removes transparency obligations. C. Provides conditional interim protection from specified WTO challenge for covered developing-country programmes. D. Applies automatically to every future programme without conditions.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Price support is not reclassified wholesale. The option states: Permanently places all MSP procurement in the Green Box.
- **B - Incorrect:** Notification and safeguards remain. The option states: Removes transparency obligations.
- **C - Correct:** The protection is conditional and interim pending a permanent solution. The option states: Provides conditional interim protection from specified WTO challenge for covered developing-country programmes.
- **D - Incorrect:** Programme coverage conditions matter. The option states: Applies automatically to every future programme without conditions.

Examiner trap 31: Peace clause is not unlimited exemption.

MCQ 32

Which syllabus boundary is correct?

A. Topic 12 must reproduce all mandi-law details. B. NFSA belongs to Topic 13. C. Buffer stocks are solely a crop-production topic. D. APMC, e-NAM, FPOs and general supply-chain regulation belong to Topic 13.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Marketing institutions are separately owned. The option states: Topic 12 must reproduce all mandi-law details.
- **B - Incorrect:** NFSA is central to Topic 12. The option states: NFSA belongs to Topic 13.
- **C - Incorrect:** Buffers link distribution and stabilisation. The option states: Buffer stocks are solely a crop-production topic.
- **D - Correct:** The boundary preserves food management here and markets there. The option states: APMC, e-NAM, FPOs and general supply-chain regulation belong to Topic 13.

Examiner trap 32: Cross-link markets without duplicating Topic 13.

PYQS AND ANSWER PRACTICE

VERIFIED ROUTED MAINS DEMANDS

These demands are verified through audited official-paper routing ledgers. The solutions are original models, not official UPSC answers.

2018 GS-III ROUTE - MSP AND LOW FARM INCOME

Demand: Discuss how MSP can help protect farmers from low income.

Model solution: MSP can reduce downside price risk and guide sowing, but only procurement or credible market transmission makes the signal effective. CACP recommends and CCEA decides; the official benchmark is at least 1.5 times all-India weighted average A2+FL. Protection remains partial because purchase is crop-, quality-, season- and location-specific and farm income also depends on yield, area, costs and weather. MSP should therefore be combined with productivity, diversification, insurance, market access and suitable income support.

2019 GS-III ROUTE - FOODGRAIN DISTRIBUTION REFORM

Demand: Discuss reforms required to make foodgrain distribution effective.

Model solution: Reform must integrate accurate and appealable beneficiary lists, end-to-end stock tracking, viable fair-price shops, timely movement, ONORC portability and authentication fallback. Allocation, offtake and household receipt should be publicly distinguished. Social audits, vigilance committees, DGROs and State Food Commissions need time-bound remedies. Cash transfers may work where banking and food markets are reliable, but in-kind grain should remain a fallback against inflation and supply failure. Effectiveness should be measured by receipt, diet and reduced hunger rather than digitisation alone.

2021 GS-III ROUTE - NFSA AND HUNGER

Demand: Explain NFSA 2013 features and its role in addressing hunger.

Model solution: NFSA creates legal TPDS entitlements: PHH members receive 5 kilograms per person monthly and AAY households 35 kilograms per household, within coverage ceilings of up to 75 per cent rural and 50 per cent urban population. It assigns federal responsibilities and provides transparency, grievance and food-security-allowance mechanisms. The Act strengthens access and stability, but hunger also reflects income, diet, health, water, sanitation and care. Thus NFSA is a necessary cereal-access floor, not a complete nutrition policy.

2022 GS-III ROUTE - PDS CHALLENGES

Demand: Discuss PDS challenges and measures for effectiveness and transparency.

Model solution: PDS faces diversion, stale lists, exclusion, uneven dealer viability, transport gaps and authentication failure. End-to-end computerisation and ePoS can improve traceability, while ONORC supports migrants. However, technology requires alternate authentication and prompt correction. Public stock and transaction disclosure, social audit, vigilance committees, DGROs and State Food Commissions strengthen accountability. Nutrition-sensitive baskets and reliable quality control should accompany cereal delivery. The reform test is whether an entitled household actually receives usable food on time.

2024 GS-III ROUTE - BUFFER STOCKS

Demand: Elucidate the role of buffer stocks in price stabilisation and the associated storage challenges.

Model solution: Procurement supports producer prices and builds operational and strategic reserves. NFSA releases protect entitled consumers, while OMSS can add market supply during inflation. Inter-State movement and emergency stocks strengthen availability and stability. Yet excess or poorly located stocks raise interest, storage, handling, quality and opportunity costs and can crowd private storage. Dynamic norms, modern silos, first-in-first-out rotation, transparent OMSS triggers and diversified procurement can preserve insurance while lowering avoidable cost.

2024 GS-III ROUTE - MILLETS AND NUTRITION

Demand: Explain how millets can contribute to health and nutritional security.

Model solution: Millets can diversify cereal-heavy diets and, depending on the millet, contribute fibre and micronutrients. Their suitability to many dryland systems can also reduce production risk and water pressure relative to unsuitable paddy expansion. However, nutrition gains require processing, palatability, dietary uptake and reliable quality. Farmer gains need seed, extension, procurement or market demand and local value chains. Millets should complement, not displace mechanically, regional staple and nutrition strategies.

OBJECTIVE PYQ ROUTING - KEY WITHHELD WHERE NOT LOCALLY VERIFIED

Year / paper	Routed official-paper demand	Key discipline
2018 Prelims GS-I Q93	CCEA and MSP announcement	Answer withheld pending official UPSC key.
2019 Prelims GS-I Q79	FCI economic-cost formula	Answer withheld pending official UPSC key.
2020 Prelims GS-I Q63	Factors affecting rice prices	Answer withheld pending official UPSC key.
2020 Prelims GS-I Q69	Oilseed procurement and unlimited-purchase claim	Answer withheld pending official UPSC key.

Year / paper	Routed official-paper demand	Key discipline
2023 Prelims GS-I Q27	Nigerseed MSP, season and tribal cultivation	Answer withheld pending official UPSC key.

ORIGINAL MAINS PRACTICE WITH MODEL SOLUTIONS

ORIGINAL MAINS 1 - 10 MARKS

Question: Why can MSP provide only partial protection against low farm income? Answer in 150 words.

Model answer:

MSP is a pre-season administered price for specified crops, not a universal income guarantee. CACP recommends and CCEA decides. The policy benchmark is at least 1.5 times the all-India weighted average A2+FL cost.

Protection remains partial because announcement differs from procurement. A farmer must offer eligible produce, meet Fair Average Quality, reach an operating centre and sell during the procurement period. Purchase is concentrated in paddy, wheat and established States, while many producers sell locally. Farms with higher costs may not realise the published average margin.

Income also depends on yield, area, input prices, crop loss and weather. MSP can reduce downside price risk and guide sowing, but broader income security requires productivity, diversification, insurance, market access and appropriate transfers.

Native-body word count: 141 / 150.

Answer audit: Definition and thesis -> named constitutional/statutory evidence -> economic analysis -> qualification -> concise conclusion.

ORIGINAL MAINS 2 - 10 MARKS

Question: Distinguish A2, A2+FL and C2 and explain the official MSP formula. Answer in 150 words.

Model answer:

A2 records paid-out cultivation expenses such as seed, fertiliser, hired labour, machinery and irrigation under the CACP method. A2+FL adds imputed unpaid family labour. C2 adds imputed rent on owned land and interest on owned fixed capital.

The Union policy announced through the 2018-19 Budget framework fixes MSP at least 1.5 times the all-India weighted average A2+FL cost. CACP also considers C2 and wider demand, supply, parity and price factors.

Thus the official 50 per cent margin claim and the farmer demand for C2 plus 50 per cent use different denominators. Neither average guarantees the same margin in practice on every farm because costs, yields and procurement access vary by crop and State.

Native-body word count: 135 / 150.

Answer audit: Definition and thesis -> named constitutional/statutory evidence -> economic analysis -> qualification -> concise conclusion.

ORIGINAL MAINS 3 - 15 MARKS

Question: Explain how buffer stocks stabilise food prices and why excess stocks create problems. Answer in 250 words.

Model answer:

Buffer stocks combine operational inventory for routine NFSA and welfare distribution with strategic reserves for shocks. Quarterly norms reflect seasonal procurement and distribution: the minimum central-pool requirement is highest after major arrivals and lower as grain is issued.

Stocks stabilise prices through two directions. Procurement absorbs eligible surplus when market prices weaken, supporting producers and building reserves. During shortage or inflation, NFSA releases protect entitled households and OMSS sales add market supply. Inter-State movement also transfers grain from procurement regions to deficit regions. The buffer therefore supports availability, access and stability.

However, stock above a justified norm carries interest, storage, handling, preservation and quality costs. Slow rotation increases deterioration risk and occupies capacity needed for new arrivals. Large public inventories can crowd private storage, intensify fiscal subsidy and reinforce paddy-wheat procurement even in water-stressed regions. A stock labelled 'excess' may also be poorly located or already committed, so simple subtraction from the norm is insufficient.

Reform requires dynamic stocking based on dated inventory, pipeline obligations and shock risk; modern silos and quality monitoring; transparent first-in-first-out rotation; decentralised procurement where efficient; and predictable OMSS triggers. The objective is adequate insurance, not maximum stock.

Native-body word count: 211 / 250.

Answer audit: Definition and thesis -> named constitutional/statutory evidence -> economic analysis -> qualification -> concise conclusion.

ORIGINAL MAINS 4 - 15 MARKS

Question: Discuss reforms needed to make TPDS effective, transparent and exclusion-safe. Answer in 250 words.

Model answer:

TPDS converts NFSA allocation into household receipt through State depots and fair-price shops. Reform must therefore address lists, logistics, transactions and remedies together.

First, beneficiary databases need regular, appealable updating so deaths and duplicates are removed without excluding migrants, elderly people, women or newly poor households. One Nation One Ration Card should be supported by interoperable stocks, beneficiary awareness and split-family portability. Second, end-to-end computerisation, GPS or stock tracking and ePoS records can expose diversion, but biometric or network failure must trigger alternate authentication rather than denial.

Third, allocation, offtake, fair-price-shop stock and household receipt should be disclosed in accessible formats. Social audits, vigilance committees, District Grievance Redressal Officers and State Food Commissions need time-bound powers and public compliance reporting. Dealer margins and shop viability also affect service quality.

Fourth, food quality, timely movement and doorstep delivery require stronger warehouse and transport accountability. Nutrition-sensitive additions must respect local diets and reliable supply.

Cash transfer can reduce handling where banking and competitive food markets are dependable, but inflation indexation, payment delay and intra-household control create risks. Hence reform should preserve an in-kind fallback and judge success by actual receipt and reduced hunger, not merely digitisation or deletion counts.

Native-body word count: 216 / 250.

Answer audit: Definition and thesis -> named constitutional/statutory evidence -> economic analysis -> qualification -> concise conclusion.

ORIGINAL MAINS 5 - 20 MARKS

Question: How can India reconcile farm price support with nutrition and ecological sustainability? Answer in 250 words.

Model answer:

India's procurement system successfully created reliable cereal channels, but deep paddy-wheat purchase also shapes cropping patterns, stocks and water use. Reform should retain downside protection while changing the relative incentives facing farmers and consumers.

Price policy must continue to state costs transparently, yet effective support should expand through region-specific operations for pulses, oilseeds and suitable millets rather than an undifferentiated open-ended promise. Decentralised procurement can connect local crops with local NFSA or welfare demand where quality, storage and processing capacity exist. Farmer organisations, grading and processing are needed so alternative crops have buyers beyond the State.

On the consumer side, food security should move from cereal quantity toward dietary diversity. Pulses, millets and context-appropriate fortified staples can supplement the core entitlement, while health, water and sanitation determine utilisation. The fortified-rice programme approved through December 2028 is one instrument, not a substitute for

diverse diets.

Ecological signals should reflect groundwater and soil stress. Crop substitution must follow agro-climatic suitability and protect farm income during transition. Detailed APMC and e-NAM reform belongs to Topic 13, while detailed input sustainability belongs elsewhere.

The goal is a diversified price-procurement-consumption system that preserves staple security while improving nutrition, water resilience and regional equity.

Native-body word count: 217 / 250.

Answer audit: Definition and thesis -> named constitutional/statutory evidence -> economic analysis -> qualification -> concise conclusion.

ORIGINAL MAINS 6 - 20 MARKS

Question: Design an integrated reform of MSP, procurement, stocks and NFSA within WTO constraints. Answer in 250 words.

Model answer:

An integrated reform should begin by separating instruments. CACP should publish transparent A2, A2+FL and C2 evidence, while CCEA decisions retain the official 1.5-times A2+FL qualification. Price support should be targeted to genuine downside risk and complemented by crop-neutral income or risk support where physical procurement is inefficient.

Procurement should become more regionally and nutritionally diverse through capable State agencies, while open-ended paddy-wheat purchase remains tied to Fair Average Quality and operational need. Central-pool accounting should distinguish stocks committed to NFSA, strategic reserves and discretionary excess. Dynamic quarterly planning, modern silos, quality audits and predictable OMSS releases can reduce carrying costs and crowding of private storage.

NFSA rights must remain central. Updated but appealable lists, ONORC portability, end-to-end tracking, authentication fallback, social audit and strong grievance bodies should minimise both diversion and exclusion. Free grain approved through December 2028 must be evaluated separately from statutory entitlement quantities. Nutrition-sensitive baskets should be locally feasible.

WTO accounting requires caution: market price support uses a fixed 1986-88 external reference price and eligible production, while the Bali peace clause is conditional and interim. India should meet notification and safeguard duties while pursuing a permanent solution.

The result should balance farmer remuneration, consumer access, fiscal prudence, ecological diversification and legal policy space.

Native-body word count: 229 / 250.

Answer audit: Definition and thesis -> named constitutional/statutory evidence -> economic analysis -> qualification -> concise conclusion.